

KOREA

2016

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

Unemployed persons are covered by the employment insurance to which employers and employees contribute. As a last-resort benefit, social assistance is also provided under the customized National Basic Livelihood Security (NBLS) System which guarantees basic livelihood and supports self-reliance for all those with incomes below the fixed ratio of median income depending on the types of aids, regardless of their working ability.

All net incomes, replacement rates and other figures in this report are based on the Korean tax and benefit system in effect as of July 1, 2016.

1.1 Average Worker wage (AW)

The national currency is Korean Won (KRW). In 2016, an average worker (broadened new definition) is expected to earn KRW 43 857 243 (Secretariat estimate).¹

1. AW refers to the Average Worker estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see *Taxing Wages 2009-2010*, OECD, 2011, part 5, sections 2 and 3

2. Unemployment insurance

Unemployment benefits can be categorized into two, namely job-seeking allowance and employment promotion allowance.

- *Job- Seeking Allowance*: provides cash payments to maintain the worker's standard of living and to facilitate their re-employment.
- Employment Promotion Allowance, split into:
 - Early Re-employment Allowance aims to facilitate the recipients' re-entry into a job, for those who get a steady² job earlier than the given benefit duration; it amounts to half of the Basic Allowance for the residual days.
 - Job Abilities Development Allowance is paid to those who take training from vocational training institutes under the direction of the Employment Security Office.
 - Wide-area Jobseeking Allowance is paid to those who are seeking jobs 50 km away from their residence referred by the Employment Security Office.
 - Moving expenses are paid to those who move to another place to take jobs or training mandated by the Employment Security Office.

Program name in local language		...
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		E + C: 6 out of last 18 months
Waiting period (days)		7
Maximum duration (months)		8
Uprating mechanism of the benefit		...
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	50%
	benefit at the end of legal entitlement period in % of calculation base	50%
	Calculation base	Gross
	Permitted employment and disregards when receiving unemployment insurance benefit	No, 100% withdrawal; complete withdrawal if more than 60 hours of work per month
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	0
	contract type	0
	other	0

² Jobs that guarantee more than 6 months of continuous employment. Number of working hours doesn't matter.

2.1 Conditions for receipt

Must be insured for 180 days during 18 months before leaving job and still being unemployed despite having will and capacity to work (those who voluntarily leave job and those who are dismissed due to their own faults are not entitled to unemployment benefits) and must engage in active job-search activities.

2.1.1 Employment conditions

See the contribution conditions (section 2.1.2).

2.1.2 Contribution conditions

Must be insured for 180 days during 18 months before leaving job.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The daily basic allowance is 50 percent of the daily wage. The daily wage is the amount calculated by dividing the wage paid in the last three months preceding unemployment by the total number of working days of the same three-month period. The minimum benefit is 90 percent of the minimum wage; the maximum monthly benefit is KRW 1,300,000 (KRW 43,416 per one-day). The daily minimum benefit is KRW 43,416.

2.2.2 Income and earnings disregards for benefit recipients and those starting a new job

If a recipient finds a job or earns income from the job he/she found, such an incident should be notified to the Employment Security Office. If the income earned divided by the number of allowance days to which the beneficiary is entitled exceeds daily job-seeking allowance, such days' allowance will be deducted from the total job-seeking allowance the recipient is originally entitled to.

The payment of unemployment benefit is suspended in case the beneficiary gets re-employed and contributes to the Employment Insurance System (EIS). The same applies if the beneficiary works 60 hours or more per month.

2.3 Tax treatment of benefit and interaction with other benefits

Unemployment benefits are not taxed, in accordance with Article 12 of the Income Tax Law.

2.4 Benefit duration and waiting periods

The maximum duration of payment of unemployment benefits ranges between three and eight months, depending on the age of the recipient at the time of job loss and the period of contribution to the EIS. It is shown below in days of benefit:

Age (years)	Periods of contribution to the EIS (days)
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Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

	Under 1 year	1-3 years	3-5 years	5-10 years	Over 10
Under 30	90	90	120	150	180
30-50	90	120	150	180	210
Over 50 and the disabled	90	150	180	210	240

*There is a 7 day waiting period.

2.5 *Treatment of particular groups*

2.5.1 Young persons

2.5.2 Older workers

2.5.3 Others if applicable, including disabled

Disabled persons, regardless of their age, are entitled to the same number of days of benefits as those over 50 years of age.

3. Unemployment assistance

- Not applicable

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable, including the disabled*

4. Social assistance (National Basic Livelihood Security)

Program name in local language		국민기초생활보장제도
Minimum age condition for social assistance receipt		No
Legal behavioural requirements	Registration as unemployed	No
	Participation in integration measures	Yes
	Active job search	Yes
	Work requirement	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	Participation in the self-help program for livelihood through the National Basic Livelihood Security System
	Legal behavioural requirements for adult family members other than the benefit claimant	No
Determination of benefit levels		National
Up-rating mechanism of the benefit		Rates declared by Minister of Health and Welfare every year (Committee finding)
Other supplements to basic benefit (per family)		Assistance is given in the forms of the total of seven benefits such as cost of living, housing, medical care, education, childbirth, funeral and self-support benefits.
Means-test for social assistance	Earnings disregards	No except for 10~50% disregard for the elderly or the disabled, students and so on.
	Benefit withdrawal rate with regard to earned income	100% (Except for the elderly or the disabled, students, etc.)
	Assets included in means test?	Yes
	Other benefits included in the means test	Unemployment benefit, re-employment allowance, etc.
Benefit provision (eligibility (E), generosity (G)) varies with	age	0
	family situation	G: Benefits are decided by the Local Living Assistance Committee for some cases who need support
	over time	0
	other	0

Until 2000, the Korean government provided limited protection mainly for those who are unable to work due to age or disabilities under the previous Livelihood Protection System. However, the Korean financial crisis in 1997 and following structural reforms caused rapid increase in the number of the poor and unemployed, which required urgent expansion of the social safety net. To remedy this situation in a fundamental way, the government enacted the National Basic Livelihood Security (NBLS) Act in September 1999, and fully implemented the system in October 2000.

The NBLS has changed the paradigm of policies to fight against poverty. The system emphasises social responsibility for poverty and has strengthened the right of the people in the low-income bracket to receive public assistance. All the people who live under the poverty line are provided financial benefit regardless of their working ability.

At the same time, the system provides well-organised self-support services so that recipients who are able to work can free themselves from poverty. The government provides self-support programmes for those in the lower-income bracket who are considered and judged to have a degree of ability to work.

- The base unit for verifying whether qualification for this system is satisfied is individual household, and depending on size of the household members, the payment rate applies differently.
- Also, for those aged 18 to 64 with work capability, the livelihood benefits is provided on condition of participation in the self-help work program, and by verifying whether they carry out conditions for receipt of the benefits, all or part of the benefits are suspended.
- Regarding means-test, for households consisting of only those without work capacity such as elderly, severely disabled, etc. a special rule exempting property from calculation of income is applied.

However, NBLS is criticised for discouraging work among the recipients and leaving many low income population outside of its protection due to its strict eligibility criteria. A major revision to the existing system, so called “customized NBLS,” has begun in July 2015.

The customized NBLS was introduced in July 2015 to strengthen the previous NBLS program by providing customized aids for cost of living, medical services, housing, and education based on the needs of recipients.

4.1 *Conditions for receipt*

Eligibility of NBLS benefits is based on recognized income, which is a combination of assessed income and converted property income. The recognized income of a recipient’s household should be less than the eligibility criteria (the fixed ratio of median income) per benefit in NBLS per household.

The 2016 median income in NBLS*

Size of household (persons)	1	2	3	4	5	6
median income (thousand KRW)	1,652	2,767	3,579	4,391	5,204	6,016

* The Minister of Health and Welfare declares the level of median income every year

The 2016 criterion for livelihood benefit in NBLS*

Size of household (persons)	1	2	3	4	5	6
criterion for cost of living benefit						

(29% of Median Income) (thousand KRW)	471	802	1,308	1,274	1,509	1,745
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* The Minister of Health and Welfare declares the level of median income every year

Firstly, the Median Income is annually determined by the Central Living Assistance Committee, a committee appointed and led by the Minister of Health and Welfare to set up guidelines for overall matters of the National Basic Livelihood Security.

Under the previous Livelihood Protection System, recipients should meet both income and property criteria, while the application of the dual criteria often led to blind spots in protection of the needy. In order to address this problem, the government has adopted unified criteria where property value is converted into a monetary amount and added to the income amount. Specifically, properties are divided into four categories- general, housing, financial, and vehicles-and the conversion rate* is applied to each type of property, from which the total value of property is calculated. Debts are then subtracted and also the value of essential properties considered necessary to maintain everyday life of the recipient. These combined income criteria are designed to enhance rationality and equity in the provision of NBLS benefits.

* Conversion rate is determined by the Ministry of Health and Welfare, considering interest rate, inflation rate, and the growth rate of real estate and housing prices.

The second eligibility criterion is the “lack of supporters.”

NBLS supplements all the other support for those who cannot maintain the basic standards of living on their own or even after receiving all possible support from the people with support obligations and other sources, including government benefits and allowances.

This is based on the principle of subsidiarity in law. It reflects the deep-rooted sense of family support obligation in Korea. Parents have the obligation to support their needy children (and their spouses), and vice versa (hereafter, “legal supporter”). One is exempted from the obligation as a “legal supporter” and the government provides benefits when the sum of 100% of legal supporter’s household income’s Median Income and 40 percent of recipient’s Median Income is below the standard of legal supporter. At the same time, his/her converted property value is less than 18 percent of the total of both his/her and the applicant/recipient’s Median Income. The agency providing assistance, however, can extend assistance benefits to those whose legal supporters refuse to provide support before making these legal supporters pay for the cost. For the elderly, the disabled, single-parents as well as those with rare and incurable or severer diseases, more advantageous criteria are applied (between ①100 percent of his/her Median Income and 40 percent of applicant/recipient’s Median Income and ②74 percent of the total of both his/her and the applicant/recipient’s Median Income).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

Assistance is given in the forms of the total of seven benefits such as cost of living, housing, medical care, education, childbirth, funeral and self-support benefits. The NBLS Act stipulates that the recipient’s total household income should not exceed the eligibility criteria (fixed ratio of median income) for NBLS, which are set at a different level for each benefit. If the recipient receives any cash-supports from other programmes as well, the amount of the cash supports is deducted from the NBLS livelihood benefit.

As a result, for those who are near the income eligibility criteria, the total amount of cost of living benefit under the NBLS system equals the difference between the maximum criteria for the cost of living benefit

and the recognized income of the household. Other benefits are given at the actual **In-kind benefits such as medical, housing, educational aid, etc. are also provided separately in case those benefits are needed by the beneficiaries.**

4.2.2 Income and earnings disregards for benefit recipients and those starting a new job

The costs generated due to characteristics of a household (such as ones composed of persons with disabilities, single-parents, patients who require a long term medical treatment) is deducted from the earned income which would otherwise lower the level of the total amount of assistance.

10~50 percent of the income earned by the disabled in the "Job Rehabilitation Programmes", "Self-Support Cooperative", students, the elderly is deducted from the earned income to encourage work among the recipients.

4.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

4.4 Benefit duration and waiting periods

Benefit can be applied for any time without a waiting period. And it is paid out immediately if the applicant meets the income and legal supporter standards.

There is no age and duration limit in receiving benefits. Benefits continue as long as he/she meets the income and legal supporter standards.

4.5 Treatment of particular group

4.5.1 Young persons

4.5.2 Older workers

The Korean government pays **200,000 KRW** per month for single-person (aged above 65) households under the Basic Pension and **320,000 KRW** for two-person households.

4.5.3 Others if applicable (disability allowances)

Severe Disability Allowance which used to be provided for persons with severe disabilities has been replaced by the Disability Pension since July 2010. Unlike Disability Allowance, the Disability Pension is governed by the Disability Pension Act, and the pension amount is adjusted upward annually by reflecting wage increases.

Persons aged 18 or over with severe disabilities (1st, 2nd, and 3rd degree disability with other disability) receive the Disability Pension worth 96,800 to 176,800 KRW per month.

Those who are aged 18 or over with relatively less severe disabilities (3rd to 6th degree) receive Disability Allowance amounting to 30,000 KRW per month while those under 18 with mild 3rd to 6th degree or severe (1st to 3th degree disability with other disability) disabilities are given 100,000 to 200,000 KRW worth of Disability Allowance.

5. Housing benefits for rented accommodation

Regular housing benefits	Program name in local language		Part of livelihood benefit (기초생활급여)
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	No
		Actual rental cost	No
	Description of regular housing benefit		Additional amount in social assistance to cover housing cost for renters that varies by household size.
	Uprating mechanism of the benefit		n.a.
Housing related support through other benefits			No

5.1 Conditions for receipt

Housing benefit is to support housing cost of low-income households according to their income, housing type and residential cost. Households whose recognized income level is less than 43% of median income and who has no person with the duty of support or cannot receive support are eligible for the housing benefit.

Households with income below 43% of median income 2016, (thousand KRW)

1 person	2 persons	3 persons	4 persons	5 persons	6 persons	7 persons
71	121	157	192	228	263	299

*Benefit calculation criteria for households of more than 8 persons: The benefit increases by 355,380 won when one person is additionally included in the household.

5.2 Calculation of benefit amount**5.2.1 Total benefit calculation**

- (Households in rental housing) Based on the minimum residential criteria, standard rental fees (136~378,000 won) are calculated according to region and the number of family members and are provided to eligible households.

- (Households in owner-occupied homes) Housing repair cost is supported after housing deterioration level is investigated (light/medium scale/large scale repair).

Section	Light repair	Medium scale repair	Large scale repair
Amount of	3.5 million won	6.5 million won	9.5 million

benefit(repair cycle)	(3 years)	(5 years)	(7 years)
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5.2.2 *Income and earnings disregards*

The same as above contents in section 4.2.2

5.2.3 *Costs eligible for housing benefits*

5.3 *Tax treatment of benefit and interaction with other benefits*

Where a resident with wage and salary income, as the head of a household with no house owned by the household as at the end of the taxable period, repays principal of the house lease loan and pays interest thereon in order to lease a house not larger than 85 square meters, the amount equivalent to 40% of such amount shall be deducted from the amount of wage and salary income for the relevant taxable period .

Housing benefits under the NBLIS is provided in cash for rent and maintenance for their housing security. There is no special tax treatment of the cash benefit. Housing benefits are offered regardless of other social welfare benefits. However, it is ensured that in-kind benefits like housing repair are not concentrated to certain people by imposing a limit on the interval.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable, including disabled*

- For disabled people living in owner-occupied homes, convenience facilities (valued at less than 3.8 million won) are additionally installed in addition to the housing benefit.

- For aged people (over 65) living in owner-occupied homes, the installation of convenience facilities is included in the housing benefit.

6. *Family benefits*

6.1 *Conditions for receipt*

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

A low-income earner with a dependent child whose annual income does not exceed 40 million won may file an application for a child care subsidy for the taxable period of the relevant income tax, if no household member has a house or the household has only one house and if the total amount of property such as land, buildings, motor vehicles and savings, shall not exceed 140 million won. The child care subsidy shall be calculated according to the child care subsidy calculation schedule prescribed by Presidential Decree.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable, including disabled*

7. Childcare for pre-school children

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

In **2016**, monthly child-care fees differ by children's age according to a government subsidy chart; **430,000** won for less than 1 year old, 378,000 won for 1 year old, **313,000** won for 2 years old, **220,000** won for 3-5 year old per month.

Average child-care fees paid by parents are affected by such aspects as the child's age and the type of facilities. Types of childcare facilities are divided into those supported by the government (state-run, public, corporate childcare facilities) and not supported by the government (private childcare facilities). The government supports facilities by providing subsidies for operating the facility such as labour costs. This makes child-care fees at government supported facilities cheaper than unsupported facilities. For 5 year-olds, child-care fees are 220,000 won for government-supported facilities, and 278,000 won for unsupported facilities in Seoul.

Cost items for childcare facilities include

1. labour cost,
2. meals and snacks for the children,
3. books and teaching tool,
4. management and operations costs.

Tax deduction for child-care fees includes child-care fee deduction and education fee deduction for preschool babies, infants, and kindergarten children.

Education fee deduction is a special deduction for children using child-care facilities or kindergartens up to **3,000,000** won per year.

Child-care fees are taken into consideration when calculating minimum living expenses.

7.2 Child-care benefits for formal centre-based care

As well as the support for formal centre based care described below, there is also an allowance for children who do not use childcare centers as described in section 7.3.

The Korean government has broadened eligibility of childcare benefits every year to ease the burden of parents using child care facilities.

1. Support for 0 to 2-year-olds

The childcare benefits are provided for 0-2 year olds who attend child. The government has provided support to all households with 0 to 2 year-olds regardless of household income levels since 2013.

In 2016, the standard amount of support was set at 430,000 won for children less than one year of age, 378,000 won for one year olds, 313,000 won for 2 year olds.

2. Support for 3-5 year olds

In the past, the childcare benefits for 3-5 year olds were provided for those using childcare facilities and kindergartens. However, since March 2012, with the introduction of the Nuri Course, recipients have

expanded to include all households with 5-year olds regardless of household income level. In March 2013, Nuri Course was expanded to include 3-4 year olds without regard to their household income level. The total monthly benefits provided to an eligible child amount to 220,000 won.

3. Support for children with disabilities

The childcare benefits for children aged 5 or less with disabled welfare cards regardless of household income level and the degree of disabilities. Exceptional support is also provided to disabled children aged 12 or less who are not able to enroll in a regular primary school or a special school for reasons including diseases (limited to those who submitted the enrollment delay document) and to children aged 5 or less who have not been issued a disabled welfare card but have submitted a disabled medical certificate.

To enhance the quality of child care services for children with disabilities, the government provides a subsidy of 438,000 won per month to facilities with teachers dedicated to the care of disabled children where teacher to child ratio is 1:3. In the case of using other facilities, the child is provided with the ceiling amount decided by the city's mayor or governor of the province.

7.2.1 Conditions for receipt

Childcare benefits are provided for 0-5 year olds without regard to income levels.

7.2.2 Calculation of benefits amount

7.2.2.1 Calculation of gross benefit

Size of subsidy by age of child						
Age of child (years)	Age<1	1<=Age<2	2<=Age<3	3<=Age<4	4<=Age	Age<=5
Size of monthly subsidy in units of 10,000 won	43.0	37.8	31.3	22.0	22.0	22.0

7.2.2.2 Income and earnings disregards

Tax exempted miscellaneous incomes are not taken into consideration when calculating recognized income.

7.2.3 Tax treatment of benefit and interaction with other benefits

Child-care fee supported by the government is not taxed.

7.2.4 Treatment of particular groups, including the disabled.

Recipients under the Basic Livelihood Security Act, children of low income single parent families and children with disabled parents are given priorities in using childcare facilities.

Legal low-income bracket children are provided with childcare subsidy without a separate income assessment.

The criteria of low-income bracket children are: children of the recipient under Article 5 of the Basic Livelihood Security Act; children of single parent families that are selected to be protected under the Single Parent Family Welfare Act; children between 3 and 4 who are living in child welfare facilities under the Child Welfare Act; children accompanied by women admitted to facilities for female victims of violence (domestic, sexual), and prostitution victims; and children accompanied by women admitted to the temporary protection facilities for mother and child.

7.3 *Childcare allowance for children not using childcare centers*

To reduce burden of parents who do not enroll their children in to childcare centers and to enhance fairness in the provision of the subsidies, the Korean government introduced the child care allowance for non-users of childcare centers in July 2009. In 2010, children aged less than 24 months old of marginally poor households or households with less income were given 100,000 won per month. In 2011, the eligibility was broadened to children aged less than 36 months old and the amount was increased to 100,000 to 200,000 won depending on the child's age, with children aged 24 to 36 months receiving 100,000 won. In March 2013, the government provided 100,000 won to 200,000 won per month regardless of household income levels for all children under 84 months not using childcare centers; 200,000 won for children under 12 months, 150,000 won for those aged 13 to 23 months, and 100,000 won for those aged 24 to 84 months.

Table 1. Monthly childcare allowance provided in 2016 (unit: KRW)

Age (months)	0-11	12-23	Over 24 and under 84
Childcare allowance	200,000	150,000	100,000

Reference date for all information is **July 1st 2016**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

8. Employment-conditional benefits

Program name (local name in parentheses if available)		Re-employment allowance	Earned income tax credit for low-income families
Type of employment-conditional benefit		Re-employment allowance	Non-wastable tax credit
Beneficiaries of employment-conditional benefit		Unemployment benefit recipients taking up work with 30 or more days left until expiration of unemployment benefit	Parent(s) with work income, paying rent
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No	No
	Child-based condition	No	Yes
	Influence of number of children on benefit amount	No	No
	Working hour criterion	No	No
	Transition criterion	New job must last at least 6 months	No
	Minimum earnings criterion for eligibility	No	No
Up-rating mechanism of the benefit		...	...
Benefit calculation(1)	Income assessment unit	n.a.	Household taxable income
	(Maximum) benefit amount	1/3 of unused benefit if already used 2/3 of payment days, 1/2 of benefit if used 1/3 to 2/3 payment days, 2/3 of benefit for 1/3 or less payment days	KRW 500000
	Phase-in rate	n.a.	55%
	Phase-out rate	n.a.	30%

Program name (local name in parentheses if available)	Young child allowance for working families	Large family allowance for working families
Type of employment-conditional benefit	Tax allowance	Tax allowance
Beneficiaries of employment-conditional benefit	Working families with young child(ren)	Working parents of large families (2 or more children)

Reference date for all information is **July 1st 2016**

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Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No	No
	Child-based condition	Yes, child(ren) below 7	Yes
	Influence of number of children on benefit amount	Yes, proportional	Yes, proportional from third child on
	Working hour criterion	No	No
	Transition criterion	No	No
	Minimum earnings criterion for eligibility	No	No
Uprating mechanism of the benefit		...	...
Benefit calculation(1)	Income assessment unit	Household taxable income	Household taxable income
	(Maximum) benefit amount	KRW 1000000	KRW 1000000 for second child, KRW 2000000 from third child on
	Phase-in rate	n.a.	n.a.
	Phase-out rate	n.a.	n.a.

	8.1. Conditions for receipt	8.2. Calculation of benefit amount 8.2.1. Calculation of gross benefit	8.3. Tax treatment of benefit and interaction with other benefits	8.4. Benefit duration
Benefits for successful job candidates	Targeting people in low-income families who participate in the I employment success package program and employed as workers eligible for employment insurance coverage in a position requiring a 30-hour or longer work week pursuant to the Labor Standards Act	KRW 36,141 million in total	Not to be provided in conjunction with similar allowances including the employment promotion benefits	KRW 200,000 to be provided if the worker completes one month in the initial workplace in the first round KRW 300,000 to be provided if the worker completes three months in the initial workplace in the second round

Reference date for all information is **July 1st 2016**

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				KRW 500,000 to be provided if the worker completes six months in the initial workplace in the third round
Benefits for early re-employment 조기재취업수당	Targeting workers eligible for job seekers' allowances who became re-employed with a half or more left until the end of benefit duration from the day prior to the date of re-employment after the completion of their waiting period and who have been employed for twelve months or longer after re-employment or have run their own business for twelve months or longer	Amount equivalent to the daily job seekers' allowances of the qualified worker multiplied by one half of the number of unpaid days	Tax exemption granted as part of unemployment allowances	The request for payments should be filed within three years from the date marking the twelfth month after the day of re-employment or business startup (to be paid in a single payment).
Support for job sharing	Subsidy is provided for employers in case the number of employees is increased in their businesses by creating new jobs from introducing or expanding Work Together system, for example, reducing hours of work, reforming a shift work scheme, providing regular education and training, or sabbatical leave.	KRW 7.2 million ~ 21.6 million annually for each additionally hired person. * KRW 7.2 million annually per person for non-manufacturing companies, KRW 9 million annually per person for large-scale manufacturing companies, and KRW 10.8 million annually per person for prioritized manufacturing * paid every three months		One year (Up to two years for high-priority companies in the manufacturing industry)
Subsidy for hiring professional workers 전문인력채용지원금	Targeting the employers of high-priority companies who hire professionals, such as technicians and product developers or employers who hire professionals with support from a company other than high-priority companies	KRW 10.8 million per year for each hired professional worker (paid every three months)		One year
Support fund for sustaining employment 고용유지지원금	Targeting employers who inevitably have to adjust employment due to business problems such as a fall in output but retain employment by taking such measures as temporary layoff, leave of absence and training	-Two thirds of layoff and leave of absence benefits (one half for large corporations) paid to the worker by the employer during employment retention measures - Three quarters of normal salary (two thirds for large corporations) and training expenses if training is conducted	Ceiling amount set at KRW 43,000 per person	No more than 180 days including days taken off due to layoff, leave of absence and training
Subsidy for promoting hiring 고용촉진	Targeting employers who hire jobless people registered as job seekers with an employment center, etc., after completing	KRW 6 - 9 million is paid for each newly hired worker over the course of one year * Payments are made every three		One year

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장려금	and employment service programme (employment success package, etc.) designated by the Minister of Employment and Labor Targeting employers who hire people with severe disabilities, female household heads and island residents having difficulties in finding works, all of whom have been out of work for one month or longer since their registration as job seekers.	months.											
Subsidy for the salary peak system	Targeting workers aged 55 or older who have worked for 18 months or longer in a work place implementing the salary peak system under the agreement between labor and management and whose salary was cut by-10% or more.	Amount equivalent to the difference between 70~90% of the peak salary and the salary for the current year but not exceeding KRW 5 –10.8 million per year (or KRW 1.25 –2.7 million per quarter). The combined amount of salary and benefits must not surpass KRW 72.5 million per year (or KRW 18.125 million per quarter) at the same time. ※Those whose annual salary reaches KRW 72.5 million or higher after the cut are excluded		The support will be provided until 2018									
Subsidy for employment security during pregnancy and childcare	Targeting employers who have concluded an employment contract effective for one year or longer with the female worker currently pregnant or on maternity leave (including miscarriage and stillbirth) or on childcare leave (limited to children aged younger than fifteen months) whose contract or subcontract has expired - Preference is given to the employer who concluded a continued employment contract with no specified term	The employer who has concluded a continued employment contract with a specified term shall be funded KRW 400,000 per month for six months. The employer who has concluded a continued employment contract with no specified term shall be funded KRW 400,000 per month for the initial six months and KRW 800,000 per month for the following six months.		Up to one year									
Earned Income Tax Credit (EITC)	1. Must have one or more dependent children under age 18; 2. Must have total annual income* of less than 13 million won; * interest, dividend and business income, etc. included 3. Value of all property* held must be less than 140 million won; * e.g. land, building, bank deposit, shares, bonds, etc.	In case of a single income household, an amount calculated is as follows . <table><tr><td>Annual earned income from employment (X)</td><td>Stage</td><td>Credit</td></tr><tr><td>0-9 million won</td><td>Phase-in</td><td>170/900 × X</td></tr><tr><td>9 million won-12 million won</td><td>Plateau</td><td>1,700,000 won</td></tr></table>	Annual earned income from employment (X)	Stage	Credit	0-9 million won	Phase-in	170/900 × X	9 million won-12 million won	Plateau	1,700,000 won		
Annual earned income from employment (X)	Stage	Credit											
0-9 million won	Phase-in	170/900 × X											
9 million won-12 million won	Plateau	1,700,000 won											

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		12 million won-21 million won	Phase-out	1,700,000won -(X-1,200,000won) x 170/900		
Tax credit for hiring new employees	SMEs that hire more workers compared to the previous year	3 million won tax credit for each new employee.				Effective from March 1, 2010 to June 30, 2011
Deduction for maintaining the number of employees	SMEs that maintain the same number of workers compared to the previous year	(wages per employee of the prior year - wages per employee of the current year) x the number of employees of the current year x 50%				Effective by end of 2010.

8.5.1 Young persons

“Mutual Aid for Youths” is a program designed to support young workers who have been newly employed by small or mid-sized companies to accumulate assets worth KRW 12 million per worker: if the worker deposits KRW 3 million into his/her account over the period of two years, the government and the business add KRW 6 million and KRW 3 million, respectively, to the worker’s account. This program is an upgraded version of the existing “Youth Employment Internship”: while Youth Employment Internship is an employer-oriented cash transfer program, Mutual Aid for Youths is focused on greater support for workers and their asset accumulation. In April 2016, the government decided to introduce this new program under its plan to promote youth and female employment, implementing a pilot program in July 2016. With the newly adopted program, the government aims to support 10,000 young workers who have been converted to regular status after working as interns under Youth Employment Internship. From 2017, Mutual Aid for Youths has been expanded in size, providing more diverse ways to participate: the target of the program has been expanded to include not only young workers who completed Youth Employment Internship but also those who completed Employment Success Package or the Work-Study Dual System, with the goal of supporting 50,000 young workers.

8.5.2 Older workers

“Internship for Older Workers” is a program designed to provide older people out of work with internship opportunities at SMEs, increasing their chance of getting employed as regular workers and, at the same time, giving employers opportunities to hire workers with a lot of experience and motivation to work. Internship for Older Workers targets “businesses given priority in government support”, under the Employment Insurance Act, which have hired unemployed older people aged 45 and older. Where businesses hire older workers as interns, they receive KRW 600,000 a month during the internship period (up to three months); and where the businesses convert the interns to regular status, they receive KRW 600,000 a month for six months additionally. Last year alone, 8,158 people participated in this program.

8.5.3 *Others if applicable, including disabled*

“Employment Incentives for People with Disabilities” is a program designed to promote more stable working lives for people with disabilities and thus their employment by providing employment incentives for employers who fill jobs with a higher share of disabled workers than the rate of mandatory employment of people with disabilities. Employers who have hired a higher share of disabled people than 2.7% (3% for public institutions), or the rate of mandatory employment of people with disabilities, are entitled to Employment Incentives for People with Disabilities, which may vary from KRW 150,000 to 600,000 per excess hire depending on his/her gender, degree of disability and years of continuous service. In 2016, the incentives were provided for 6,356 enterprises, which hired a total of 60,850 people with disabilities.

(Employment-conditional benefits) Hope Growing Account, introduced in 2010, is an asset-building support program for low income families by providing them with labor incentives and helping them save money to become self-sufficient.

The First Hope Growing Account(희망키움통장 I), which was introduced in 2010, is an asset-building support program for NBLs households whose total household incomes are above 60% of 40% of the median income. Through this Account, they receive the incentives to work as well as the support to save up money to become self-sufficient. 34,000 people were cumulatively enrolled as of June 2015, and each person received about KRW 330,000 per month for 3 years as government support in 2015.

The Second Hope Growing Account (희망키움통장 II), which was introduced in 2014, is an asset-building support program for families near the poverty line with the qualified income under 120% of the minimum cost of living and the total earned income above 70% of the minimum cost of living. 16,000 people were cumulatively enrolled as of June 2015, and for every KRW 100,000 deposited in the Account, the government supports KRW100,000 as a matching fund for 3 years.

9. Lone-parent benefits

Lone-parents with combined value of income and property below the levels shown in the table are eligible to the benefits below: (for 2015)

- Child-rearing support subsidy: KRW 120,000 a month for children aged less than 13
- Additional child-rearing support subsidy: KRW 50,000 a month for children aged less than 5, and are parented by grandparents or unmarried single-parent aged-25 years old or above
- Child education support subsidy (school supplies): KRW 54,100 a year for children who are enrolled in middle school or high school
- Living cost assistance subsidy: KRW 50,000 a month for families living in lone-parent facilities
- Education support subsidy: Entrance and enrolment fees for high school students who are from lone-parent family (executed by the Ministry of Education from 2013)

9.1 Conditions for receipt

Recipients must qualify the following conditions in order to be recognized as eligible lone-parent household

- **(Household):** household consisting of head of household mother (grandmother) or father (grandfather) and children aged less than 18 (in case of school children, aged less than 22)
- **(Income Value):** children whose mother (grandmother) or father (grandfather) with its income less than 52% of the moderate livelihood cost and fulfils the household income value standard, – if not, the household is not eligible for ‘lone-parent household’ support subsidies

Exception: children whose mother or father is aged less than 24 is considered as ‘Youth Lone-Parent’ household and its income threshold is less than 60% of the basic livelihood costs.

2016 Income Value Threshold for Lone-Parent Support Subsidy Eligibility

(In KRW per month)

Number of family members		2	3	4	5	6
Lone-Parent or Grandparent Headed Household	(52% of the NBLS)	1,438,634	1,861,090	2,283,546	2,706,001	3,128,458
Youth Lone-Parent Headed Household	(60% of the NBLS)	1,659,962	2,147,411	2,634,860	3,122,309	3,609,759

9.5.1 Young Persons

Household consisting of head of household mother or father who is aged less than 24 tends to have problems such as poverty, burden on childcare, living and housework that household consisting of adult head of household mother or father has, too. However, household consisting of head of household

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mother or father who is aged less than 24 usually faces difficult situations due to lack of job training and interruption on education. Thus, programme for this particular group is being offered to provide financial and educational supports and to create environment for child-rearing.

Especially, for the young lone-parents whose education has been interrupted by unexpected pregnancy and childbirth, child-rearing and education support have been strengthened through various subsidies including school qualification exam (up to KRW 1,540,000 per year) and child-rearing (KRW 170,000 per month).

**Details of support types for ‘Youth Lone-Parent Household’:
Households headed by a mother or a father who is aged less than 24**

Subsidy Type	Child-rearing	School Qualification Exam	High School Education	Financial Independence Boost
Amount (KRW)	170,000 / month	Less than 1,540,000 / year	Actual costs	100,000 / month
Household Income Threshold	Less than 60% of the NBL (Except recipients of the NBLSB)	Less than 150% of the NBL	Less than 60% of the NBL (Except recipients of the NBLSB)	53~60% of the NBL (Except recipients of the NBLSB)

9.5.2 *Older workers: Not applicable*

9.5.3 *Others if applicable, including disabled: Not applicable*

10. Tax system

Each individual is taxed on his/her own income.

Non-taxable wage income includes the:

- national pension, medical insurance, unemployment insurance and work injury insurance that are borne by employer
- overtime payment to productive workers: up to KRW 2 400 000 of overwork payment of productive workers in manufacturing and mining sectors whose monthly wage is less than KRW 1 500 000 and whose yearly wage is less than 25 000 000.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- Employment Income Deduction: the following deduction from gross income is allowed for wage and salary income earners:

Salary	Deduction
Up to KRW 5 000 000	70%
KRW 5 000 000 to KRW 15 000 000	KRW 3 500 000 plus 40% of the salary over KRW 5 000 000
KRW 15 000 000 to KRW 45 000 000	KRW 7 500 000 plus 15% of the salary over KRW 15 000 000
KRW 45 000 000 to KRW 100 000 000	KRW 12 000 000 plus 5% of the salary over KRW 45 000 000
Over KRW 100 000 000	KRW 14 750 000 plus 2% of the salary over KRW 100 000 000

- Tax allowances for part-time workers are 100,000 KRW per day.
- *Basic allowance*: a taxpayer can deduct KRW 1 500 000 from his/her income for each person who meets one of following conditions: (but not applied to part-time workers)
 - taxpayer him/herself
 - taxpayer's spouse whose taxable income is under KRW 1 000 000;
 - taxpayer's (including the spouse's) dependents (parents, siblings, children) within the same household whose income after accounting for the employment income deduction is under KRW 1 000 000 and whose ages are as follows:
 1. parents: aged 60 years or older
 2. brother/sister: aged 60 years or older or aged 20 years or under
 3. children: aged 20 years or under (for the purposes of this Report, , it is assumed that the principal wage earner will always claim this allowance if there are two wage earners in the household).
- *Additional allowance*: a taxpayer can deduct KRW 1 000 000 (500 000 in the case of (c), 2 000 000 in the case of (b))) from his/her gross income when the taxpayer or his/her dependents fall into the following categories (for this report, only cases (c) would be applicable):
 1. a person aged 70 years or older (a)
 2. a handicapped person (b)

3. a female wage earner who is the head of a household with dependents (but without spouse) or a female wage earner with spouse (in the case of this report, any female wage earner would be entitled to this allowance)³(c)
4. a single parent with lineal descendants or adopted children who are eligible for basic exemption* (d)
5. *Overlapping deductions for (c) and (d) are not allowed. If a resident belongs to both of the classes, he/she shall be deemed to belong to class (d) only.

Compulsory social security contribution:

- *National pension deduction:* Employees can deduct 100 percent of their contribution of National Pension
- *Medical insurance premium and Unemployment insurance premium deduction:* employees can deduct 100% of their contribution to authorities.

Lump-sum tax relief:

- Wage and salary income earners may deduct from gross income the expenses for several items paid during the tax year such as insurance premiums (include Medical insurance premium and Unemployment insurance premium), medical expenses, educational expenses, saving/payments for housing, charities and credit card purchases (all of them up to specific limits).
- Any taxpayer whose total deductible expense for the categories mentioned above is not over KRW 120 000 may deduct KRW 120 000 from their gross income as a lump-sum tax relief.

10.1.1.2 Standard tax credits

- *Tax credits:* wage and salary income earners obtain the following tax credit:

Calculated tax	Amount of tax credit
Up to KRW 1 300 000	55% of calculated tax
Over KRW 1 300 000	KRW 715 000 plus 30% of the calculated tax over KRW 1 300 000 (maximum credit: see table below)

Total wage and salary income	Ceiling on credit amount
Not more than 33 million won	740,000 won
Not more than 70 million won	The greater of 660,000 won and 740,000 won – [(total wage and salary income – 33 million won) × 0.8%]
Exceeding 70 million won	The greater of 500,000 won and 660,000 won – [(total wage and salary income – 70 million won) × 50%]

³ This extra allowance was introduced to promote female work-force participation. The presence of this allowance necessitates further specifying the demographic make-up of each family type considered within this report. To that end, for Korea, it is assumed that with the exception of the single parent with two children, the principal wage earner is a male.

10.1.2.2 Main non-standard tax reliefs

Wage and salary income earners may deduct from gross income the expenses for the following items during the tax year:

- *Insurance premiums (a)*: the general insurance premium up to KRW 1 000 000, as well as the Medical insurance premium and the Unemployment insurance premium can be entirely (100 percent) deducted from taxable income.
- *Medical expenses (b)*: up to KRW 7 000 000. Full deductions are allowed for medical expenses exceeding 3 percent of taxable income for the taxpayer himself, taxpayer's dependents who are aged 65 years or older and handicapped persons.
- *Educational expenses (c)*: tuition fees for pre-school, elementary, middle school and college (but the graduate school fee deduction is allowed only for the taxpayer himself), either for the taxpayer himself or his/her dependents (including the taxpayer's spouse, children, and siblings), can be deducted from gross income. The deductible amount is 100 percent for the taxpayer himself. For the taxpayer's dependents, the maximum deductions are as follows:
 - For pre-school: up to KRW 3 000 000 per child;
 - For elementary, middle and high school: up to KRW 3 000 000 per student;
 - For college/university: up to KRW 9 000 000 per student.
- *Saving/Payment for housing (d)*: The full amount of the interest paid on a long-term mortgage loan for buying a house which is not more than 85m² in area and 400 million won in value; 40 percent of the amount contributed to a savings account for housing by a non-homeowner; 40 percent of the monthly rent or the principal and interest of a loan for leasing a house paid or repaid by a non-homeowner. The sum of the deductible amounts above shall not exceed 15 million won.
- *Charities (e)*:
 - *donations to a government body*, donations for national defence, natural disaster, and certain charitable associations: total amount up to gross income is deductible;
 - *donations to public welfare or religious associations*: up to fifteen percent of gross income.
- *Credit card purchases (f)*: Employees may deduct 15 percent of their credit card (30 percent of their debit card or prepaid card) purchases that exceed 25 percent of their total income to a maximum of the lesser of KRW 3 000 000 or 20 percent of their total income.
- *Child tax credit*:
 - Where a resident with taxable income has children (including adoptees and children under foster care) who are eligible for the basic deduction, he/she receives annual tax credit of 150,000 won for having a child, 300,000 won for having two children, and 300,000 won plus 300,000 won per an excess child over two in case of having more than three children.
 - Resident gets additional tax credit of KRW 150 000 per a child who is under 6 years of age from second child.
 - Resident gets tax credit of KRW 300 000 per child for birth and adoption of the year.
- *Lump-sum tax relief*: Any taxpayer whose total deductible expense for (a), (b), (c), (d) and (e) is not over KRW 1 000 000 may deduct KRW 1 000 000 from gross income as a lump-sum tax relief.

10.1.2 *Income tax schedule (central government income tax)*

Tax schedule

Over (KRW)	Not more than (KRW)	Marginal tax rate (%)
0	12 000 000	6
12 000 000	46 000 000	15
46 000 000	88 000 000	24
88 000 000	150 000 000	35
150 000 000		38

10.1.3 *State and local income taxes*

10.1.3.1. *Tax base*

The local income tax base is the income tax paid to the central government.

10.1.3.2. *Tax rate*

A uniform rate of 10 percent is applied. However, the local government can adjust the rate between the lower limit of 5 percent and the upper limit of 15 percent.

10.1.3.3. *Tax rate (selected for this study)*

A country-wide rate of 10 percent is used in this Report.

10.2 *Treatment of family income*

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

10.3.1.1 *National pension*

The National pension contribution rate is 4.5 percent of the standardised average monthly wage income as of 2014.

* The scope of the standardised average monthly wage income is from KRW 270 000 to KRW 4 210 000 as of 1 July, 2015.

10.3.1.2 *Medical insurance*

The Medical insurance premium, which has a rate of 3.260423% (Health insurance: 3.06%, Long term care insurance: 6.55 % of Health insurance premium rate), is levied on average monthly wage income as of 1 January 2016.

The scope of the average monthly wage income is from KRW 280 000 to KRW 78 100 000.

10.3.1.3 Unemployment insurance

0.65 percent of gross income.

10.3.1.4 *Work injury insurance*

Employers only.

10.3.2 *Contributions payable by employers*

10.3.2.1 *National pension*

The national pension contribution rate is 4.5% of the standardised average monthly wage income as of 2014.

The scope of the standardised average monthly wage income is from KRW 280 000 to KRW 4 340 000 as of 1 July, 2016.

If the average monthly wage income of a person is less than KRW 280 000, the average monthly wage income of the person is regarded as KRW 280 000 and the rate (0.045) is applied. If the average monthly wage income of a person is more than KRW 4 340 000, the average monthly wage income of the person is regarded as KRW 4 340 000 and the rate (0.045) is applied; so the maximum of the national pension contribution per year is KRW 2 343 600 (=KRW 4 340 000 x 0.045 x 12 months).

10.3.2.2 *Medical insurance*

The Medical insurance premium, which has a rate of 3.260423% (Health insurance: 3.06%, Long term care insurance: 6.55 % of Health insurance premium rate), is levied on average monthly wage income as of 1 January, 2015.

The scope of the average monthly wage income is from KRW 280 000 to KRW 78 100 000.

10.3.2.2 Unemployment insurance

- the insurance premium is between 0.9 percent and 1.5 percent of total wage;
- the insurance premium selected for this study is 0.9 percent.

10.3.2.3 *Work injury insurance*

- the insurance premium consists of an industry-specific rate which is set by the Ministry of Employment and Labour multiplied by total wage
- the average rate of all industries (selected for this study) is 1.70 percent.

10.3.3 *Payroll taxes*

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10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

11. Part-time work

Not applicable

11.1 *Special benefit rules for part-time work*

Not applicable

11.2 *Special tax and social security contribution rules for part-time work*

Tax Credit for Businesses Creating Quality Part-Time Jobs (Article 26 of the Restriction of Special Taxation Act)

■ Features

- This is a policy that gives a tax credit for investment in job creation to businesses that create new “quality part-time jobs”, allowing people to choose to work shorter hours than full-time workers, meeting their personal needs without facing any gaps in working conditions compared to their full-time counterparts.

■ Who is entitled?

- The employers of businesses that have seen an employment growth after investing in their facilities (within five years).

■ What is provided?

- A corporate tax (income tax) cut by KRW 10 million per employee (up to 3% of the investment amount)
- Where the employer hires a young person, person with disabilities or person aged 60 and older: KRW 15 million
- Where the employer hires a Meister high school graduate: KRW 20 million
- Where the employer hires a person for a quality part-time job

- A newly hired part-time worker who works at least 60 hours a month is included as a 0.5 additional job in the total number of new jobs.

- From 2014, any part-time employee who meets certain requirements (whose hourly wage is same as or higher than that of his/her full-time counterparts and amounts to 130% of the minimum wage or higher) is included as a 0.75 job, up from a 0.5 job previously, in the total number of (new) jobs.

12. Policy Development

12.1 Policy changes introduced: 2nd July 2015 – 1st July 2016

- Increase of tobacco tax (Since January 1st, 2015)

- (Increase of excise tax and price) The National Tobacco Control Plan, which was announced in September 2014, included raising the share of tax in tobacco prices from 62% to 73.7%, which led to an 80% increase in retail tobacco prices (the average price for a pack of cigarettes was raised from 2,500 won to 4,500 won)

Table. Changes in Tobacco Taxes and Prices in the Republic of Korea

(Korean won/per pack)

	Jan 1989	Jan 1994	Jan 1997	May 1997	Jan 2001	Feb 2002	Jan 2005	Jan 2015
Excise tax	360	460	460	460	510	510	641	1,007
Local Education tax			184	184	255	255	321	443
Health Promotion Fund				2	2	150	354	841
Waste Management Charge			4	4	4	4	7	24
Tobacco Production Stabilizing Fund						10	15	5
Public Fund		20	(abolished)					
Individual consumption tax								594
Value Added Tax					118	181	227	409
(A) Total tax	360	480	648	650	889	1,110	1,565	3,323
(B) Manufacturing and distributing cost	240	220	252	350	411	890	935	1,177
(A+B) Total retail price	600	700	900	1,000	1,300	2,000	2,500	4,500

- Increased tax revenue has been earmarked for national tobacco control policies in order to expand medical assistance for tobacco cessation and smoking prevention programs

- Eased the eligibility criteria and expanded the target population for personal disability assistance services (Eligibility Criteria) Disability grade 1~2 → Disability grade 1~3

- (Expanded the target population) ('14) 54,000 persons → ('15) 57,500 persons

- Introduction of Hope Growing account II (asset-building support program) that is expanded to cover lower income families (announced in July 1st 2014, implemented since July 14th 2014)

- One on one matching fund by the government for lower income families (100,000 won monthly)

	Hope Growing account I	Hope Growing account II
Eligibility	NBLSS recipient families with more than one family member working (a total earning and business income of	Lower income families with more than one family member working (① None NBLSS recipient

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	over 60% of the minimum living cost)	household with income less than 120% of minimum cost of living, ②a total earning and business income more than 90% of minimum living cost)
Monthly individual saving amount (KRW)	100,000	100,000
Government subsidy (KRW)	Incentives for earnings (Monthly average of 270,000)	100,000 (support of one on one matching)
Condition	Under the condition of becoming self-sufficient (not having to receive the NBLSS benefits) within 3 years	Maintain the account for 3 years (submit documented proof of usage, complete mandatory education)
Benefits	(for 3 years) average accumulation of 13 million won (for 3-person household) average accumulation of 1.3 million won in 3 years	(for 3 years) average accumulation of 7.2 million won

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.